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SECTORS OF THE INDIAN ECONOMY

Economics - Class 10 | Chapter 2 | Deep Structured NCERT Notes

1. Introduction to Economic Sectors

What is an Economy and Its Sectors?

An economy is best understood when we study its components or sectors. The economy consists of **different activities** that people do to **produce goods and services**. These activities are **classified into different sectors** based on certain criteria.

Sectoral classification can be done on the basis of:

- **The nature of economic activity: Primary, Secondary, Tertiary.**

- **Employment conditions: Organised and Unorganised.**
- **Ownership: Public and Private.**

Each sector is important for the economy and they are **interconnected with each other**. For example, **agriculture produces raw materials** that **industries process**, and **services help distribute** the finished products.

2. Classification by Nature of Economic Activity

Primary Sector

When we produce a good by exploiting natural resources, it is an activity of the primary sector. This sector is **directly connected to nature** because it involves **using natural resources directly**. The primary sector is **also called the agriculture and related sector**.

Since most of the natural products we get are from agriculture, dairy, fishing, and forestry, this sector is also called agriculture sector. The primary sector includes activities like:

- **Agriculture:** growing crops.

- **Dairy:** milking cows and producing milk products.
- **Fishing:** catching fish from rivers, lakes, and oceans.
- **Forestry:** cutting timber and collecting forest products.
- **Mining:** extracting minerals from the earth.
- **Animal husbandry:** raising livestock.

The primary sector is called primary because it is the first stage of economic activity. All other sectors **depend on the primary sector** for **raw materials**. For example, **food processing industries need crops**, **textile industries need cotton**, and **furniture industries need wood**.

In India, the primary sector employs the largest number of people but **contributes a smaller share to GDP**. This shows **low productivity** in the primary sector. Many workers in agriculture are **underemployed** or **disguisedly employed**.

Secondary Sector

The secondary sector covers activities in which natural products are changed into other forms through ways of manufacturing. This sector is **also called the industrial sector** because it involves **manufacturing and industrial activities**. The secondary sector **takes raw materials from the primary sector** and **converts them into finished goods**.

Examples of secondary sector activities include:

- **Cotton is produced in agriculture** and then **processed into cloth in textile mills**.
- **Sugarcane is grown** and then **processed into sugar in sugar mills**.
- **Iron ore is mined** and then **processed into steel in steel plants**.
- **Wood is cut** and then **made into furniture in factories**.

The secondary sector includes:

- **Manufacturing:** producing goods in factories.
- **Construction:** building houses, roads, and bridges.

- **Electricity generation.**
- **Water supply.**
- **Processing of minerals and raw materials.**

The secondary sector is called secondary because it comes after the primary sector. It adds value to raw materials by transforming them into useful products. The secondary sector **creates employment** and **generates higher income** compared to the primary sector.

Tertiary Sector

The tertiary sector is also called the service sector. These activities **do not produce goods but provide services.** Tertiary sector activities **help in the development of the primary and secondary sectors** by providing **support services.**

The tertiary sector includes:

- **Transportation:** trucks, trains, buses, and airplanes that transport goods and people.
- **Communication:** post, telephone, internet, and mobile services.
- **Banking and finance:** banks, insurance, and stock market.

- **Education:** schools, colleges, and universities.
- **Healthcare:** hospitals, clinics, and doctors.
- **Trade:** wholesale and retail shops that sell goods.
- **Administrative and accounting work:** government offices and companies.
- **Personal services:** washermen, barbers, cobblers, lawyers, and teachers.
- **Tourism:** hotels, travel agencies, and restaurants.

Goods that are produced in the primary or secondary sector need tertiary services to reach consumers. For example, **rice from farms must be transported to markets, and clothes from factories must be sold in shops.** Therefore, **services are essential for production and distribution.**

The service sector also includes essential services that may not directly help in production but improve society. Teachers provide education, doctors provide healthcare, and police provide security. These services build **human capital** and maintain **law and order.**

Interdependence of Sectors

All sectors are linked or interconnected. They **depend on each other** for **survival and growth**. No sector can **function in isolation**.

Example of interdependence:

- **A farmer grows wheat** in the **primary sector**.
- **The wheat is taken to a mill and processed into flour** in the **secondary sector**.
- **The flour is transported to a store by truck** in the **tertiary sector**.
- **The flour is sold in a shop** through **trade services**.
- **The shopkeeper uses a bank** to manage money.
- **The farmer's children go to school** through the **education service**.

This shows how all three sectors are connected. The **primary sector provides raw materials**, the **secondary sector processes them**, and the **tertiary sector distributes and supports**.

3. Changing Sectors Over Time

Historical Development of Sectors

In ancient times, most people were engaged in the primary sector. People lived in villages and **depended on agriculture for their livelihood.** There was **little industry and few services.**

During the colonial period, the primary sector continued to dominate. British colonial rule damaged many Indian industries and made India dependent on agriculture. Most people remained in **agriculture and allied activities.**

After independence, the secondary and tertiary sectors started growing. The government **established industries and developed services.** However, the **primary sector continued to employ the largest number of people** for a long time.

Why is the Tertiary Sector Growing in India?

The tertiary sector has become the most important sector in India in terms of production. However, it is **not the largest employer.** The tertiary sector is **growing rapidly** for several reasons.

1. Rise in basic services provided by the government:

- The government provides **education, healthcare, security, and infrastructure.**
- These services are **essential for development.**
- **Government spending on services has increased.**

2. Rise in income:

- As **incomes increase**, people **demand more services.**
- People can **afford education, healthcare, entertainment, and travel.**
- **Higher income leads to more demand for services.**

3. Development of primary and secondary sectors:

- When **agriculture and industries grow**, they **need more services.**
- **Farmers need transport, banking, and communication.**
- **Industries need transport, banking, insurance, and advertising.**

4. Development of Information and Communication Technology (ICT):

- **Mobile phones, internet, and computers** have created new services.
- **IT sector, e-commerce, and online services** have grown rapidly.
- **Technology has made services more accessible.**

5. Increased demand for services in urban areas:

- **Cities need more services** like transport, education, healthcare, and security.
- **Urbanization has increased demand for services.**
- **Cities are centers of service sector growth.**

The tertiary sector has become the largest producing sector in India. It contributes **more than half of India's GDP**. But it employs a smaller proportion of the workforce than agriculture, showing **higher productivity**.

4. Employment Generation

Underemployment in the Primary Sector

In India, the primary sector employs the largest number of people. However, it **contributes a smaller share to GDP.** This shows that **productivity in agriculture is low.**

Many people in the primary sector are underemployed. Underemployment means people appear to be employed but are working less than their capacity. For example, a farmer may work actively only during **sowing and harvesting** and remain underemployed during the rest of the year.

Underemployment is a serious problem in rural India. It means **people's skills are not being used fully.** It also means they are **not earning enough income.**

Disguised Employment

Disguised employment is a type of underemployment where more people are employed than needed. For example, if **a farm needs only 5 workers but 8 people are working,** the extra 3 workers are disguisedly employed. If they leave, **production will not decrease.**

Disguised employment is common in agriculture. Family members work on the farm even if they are not all needed. Removing extra workers from the farm does **not reduce production**.

Disguised employment means people's productivity is very low or zero. They **appear to be employed** but are **not contributing much to production**. This is a hidden form of unemployment.

How to Increase Employment?

To increase employment, the government needs to create more jobs in all sectors. Employment generation requires **investment in agriculture, industry, services, infrastructure, and skill development**.

1. Promoting agriculture and related activities:

- **Invest in irrigation** to increase agricultural production.
- **Develop food processing industries** to add value to agricultural products.
- **Promote dairy, fishing, and forestry** to create rural employment.

- **MGNREGA guarantees 100 days of work** in rural areas.

2. Developing secondary sector:

- **Set up industries in rural areas** to create jobs.
- **Support small-scale industries** which are labor-intensive.
- **Improve infrastructure** to attract industries.
- **Provide training to workers.**

3. Developing tertiary sector:

- **Promote tourism, IT, education, and healthcare.**
- **Support small service providers** such as shops, transport workers, and personal service providers.
- **Develop urban areas** where services are in demand.

4. Supporting the unorganised sector:

- **Provide social security** to unorganised workers.
- **Improve working conditions.**
- **Provide training and skills.**

5. MGNREGA Act 2005

What is MGNREGA?

MGNREGA stands for Mahatma Gandhi National Rural Employment Guarantee Act. It was **passed in 2005** by the **Government of India**. MGNREGA is also called **NREGA**.

Under MGNREGA 2005, all those who are able to and are in need of work in rural areas are guaranteed 100 days of employment in a year by the government. This is a **legal right**. Every **adult rural resident** can **demand work** from the government.

If the government fails to provide employment, it will give unemployment allowances to the people.

This means the **government is legally bound** to provide work. If work is not provided within **15 days**, the person is **entitled to unemployment allowance**.

MGNREGA aims to provide:

- **Livelihood security** in rural areas.
- **Employment during lean agricultural season.**
- **Creation of productive assets** such as roads, wells, and irrigation facilities.
- **Reduction of rural-urban migration.**

- **Empowerment of women** because at least one-third workers must be women.

MGNREGA is implemented in all districts of India. It is **one of the largest employment guarantee programmes in the world.** It gives rural workers a **minimum safety net** during unemployment.

6. Classification by Employment Conditions

Organised Sector

The organised sector includes jobs that are **regulated by the government.** These jobs have **fixed working hours, job security, and benefits.** Workers in the organised sector are **protected by labour laws.**

Characteristics of organised sector jobs:

- **Fixed working hours.**
- **Job security.**
- **Paid leave.**
- **Overtime pay.**
- **Pension.**
- **Medical benefits.**
- **Safe working conditions.**

- **Regular salary.**

Examples of organised sector jobs:

- **Government employees** such as teachers, doctors, police, and bureaucrats.
- **Employees in public sector companies** such as SAIL, BHEL, and NTPC.
- **Employees in large private companies** such as Tata, Reliance, and Infosys.
- **Bank employees.**
- **Employees in registered factories.**

Working in the organised sector means security and benefits. However, **organised sector jobs are limited.**

They are often **difficult to get** because they require education, skills, and formal recruitment.

Unorganised Sector

The unorganised sector includes jobs that are not regulated by the government. These jobs have **no job security, no benefits, and poor working conditions.** Workers in the unorganised sector are **not properly protected by labour laws.**

Characteristics of unorganised sector jobs:

- **No fixed working hours.**
- **No job security.**
- **No paid leave.**
- **No overtime pay.**
- **No pension.**
- **No medical benefits.**
- **Unsafe working conditions.**
- **Low and irregular wages.**

Examples of unorganised sector jobs:

- **Small farmers.**
- **Agricultural labourers.**
- **Construction workers.**
- **Street vendors.**
- **Rickshaw pullers.**
- **Domestic workers.**